

Medicare won't pay for your mother's nursing home. Her house will.

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Going broke in America is rarely loud. It happens in a hospital discharge office, where a social worker explains that [Medicare will cover your mother's rehab for a few weeks, never more than 100 days, and then stop](#). After that, the daily help with bathing, eating and dressing is on you.

More than half of Americans turning 65 in recent years [will need long-term care](#). A private nursing home room costs a median of [\\$129,575 a year](#), and the median household headed by someone over 65 earns [\\$56,680](#). The arithmetic ends only one way.

So the family pays until the money's gone. [One in six residents who enter paying privately spends down to Medicaid](#) in about six months. In most states, Medicaid won't step in until they're down to [\\$2,000 in countable assets](#). After death, federal law [requires the state to recover what Medicaid spent](#) from the estate, and for most families that means the house.

The rich never climb down that ladder. With an elder-law attorney and five years' lead time, you can move your assets into an irrevocable trust, [wait out Medicaid's lookback period](#), and qualify with your wealth intact. The fee runs [around \\$10,000](#), less than a month of care. It's the best deal in the building.

Now follow the money. Medicaid is the primary payer for [63% of nursing home residents](#), and [73% of nursing homes are for-profit](#). [Nearly three-quarters of homes pay rent and management fees to companies their own owners control](#), and a 2024 study found they [hide at least 63% of their profits](#). Real estate investment trusts hold stakes in [one in six nursing homes](#) and paid more than \$7 billion in dividends in 2024. The largest, CareTrust, ran a [67% profit margin](#) last year. In one of its buildings, in Sacramento, a retired teacher named Pearlene Darby died in 2020 at 81 of infections and bedsores, according to her death certificate. That year, court records show, the home lost money and still paid CareTrust more than \$1 million in rent. The home denied liability and settled.

Call it what it is. A family's savings and house go in one end. Rent, dividends and management fees come out the other. Medicaid covers the gap once the family is broke, then the state takes the house to pay itself back. That is a transfer of wealth from the middle class to the people who own the buildings, and it runs through a government office.

It isn't the aide's doing. She earns a median of [\\$20.13 an hour](#), and her job turns over at a median rate of [94% a year](#). Government-owned and nonprofit homes, [about a quarter of the total](#), staff better: in New York, for-profit homes provide [20% fewer nursing hours per resident](#). The Medicaid dollar is the same. Where it goes is not.

The United States is [one of the few wealthy countries](#) that runs it this way. Germany and Japan have [mandatory public long-term care insurance](#) that everyone pays into and can use. Norway charges nursing home residents [a share of their income, up to 85%](#), and the municipality covers the rest. Australia [caps what a resident can be charged for care at about A\\$130,000 or four years](#), then the government pays. None of them is built to strip a family to \$2,000 before help arrives. Congress passed an American version in 2010 and [repealed it in 2013](#) before it enrolled anyone. It set a minimum staffing standard in 2024; the industry's lobby [spent nearly \\$17 million fighting it](#), and in December [it was repealed](#).

Here is the point. "Go broke first" is a policy, not a law of nature. It survives because families discover it one at a time, in a discharge office, too late and too tired to fight. Know it now. Tell your parents. Ask the people you vote for why a landlord's dividend comes before a nurse's shift. The fixes are known: a staffing floor, plain-English disclosure of every related-party payment, public long-term care insurance. A bill introduced in March would [bar Medicare payments to private-equity-owned homes](#). What's missing is a public that knows the rule exists.

I watched this happen to my grandmother. Her savings and everything she owned were drained paying for her care. I run a nonprofit that has taught more than 100,000 young people about money. I can teach them to save. I can't teach them to out-save a system built to take the house. But I can make sure they see it coming.

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